

KAPCHORUA TEA COMPANY LIMITED
AUDITED RESULTS FOR THE YEAR ENDED 31ST MARCH 2016
Website: www.williamsontea.com

STATEMENT OF COMPREHENSIVE INCOME

	31.03.2016 Kshs'000	31.03.2015 Kshs'000
Turnover	1,209,133	1,073,989
Profit from operations before tax	165,103	54,740
Increase/(decrease) in fair value of biological assets	140,620	(101,214)
Finance income	30,284	16,938
Profit/(loss) before taxation	336,007	(29,536)
Tax Charge / (credit)	(101,685)	6,751
Profit/(loss) for the year	234,322	(22,785)
Comprising:		
Profit arising from operating activities	135,889	48,065
Profit/(loss) arising from changes in fair value of biological assets	98,433	(70,850)
	234,322	(22,785)
Issued Shares of Kshs 5 each	7,824,000	3,912,000
Earnings/(loss) per share (Kshs)	29.95	(2.91)

STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves			Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000	
Balance at 1 April 2014	19,560	150,903	504,719	705,483	1,210,202	1,380,665
Total comprehensive income for the year		89,359	(70,850)	48,065	(22,785)	66,574
Excess depreciation transfer		(21,882)	-	21,882	21,882	-
Deferred tax on excess depreciation		6,565	-	(6,565)	(6,565)	-
Dividend declared-2013		-	-	(19,560)	(19,560)	(19,560)
Balance at 31 March 2015	19,560	224,945	433,869	749,305	1,183,174	1,427,679
Balance at 1 April 2015	19,560	224,945	433,869	749,305	1,183,174	1,427,679
Total comprehensive income for the year			98,433	135,889	234,322	234,322
Excess depreciation transfer		(43,939)	-	43,939	43,939	-
Deferred tax on excess depreciation		13,182	-	(13,182)	(13,182)	-
Dividend declared-2015		-	-	(19,560)	(19,560)	(19,560)
Bonus Issued	19,560	-	-	(19,560)	(19,560)	-
Balance at 31 March 2016	39,120	194,188	532,302	876,831	1,409,133	1,642,441

COMMENTARY ON THE RESULTS

Cropping patterns and therefore prices were erratic through the year. Low supply initially forced prices up before giving way to extremely favourable conditions, supply surged and prices crashed. Whilst the Company honoured long term contract commitments to partially miss out on the initial strength of the market, an increase in crop of 11%, higher turnover on higher prices and weal shilling have all contributed to the increase in profitability. Higher inventory levels (unsold tea) also reduced the cost of sales and as a result the Company has reported an operational profit of KShs 136 million against KShs 48 million in the previous year.

DIVIDEND

The Board recommends a final dividend payment of KShs 6 per share from the profits realised during the year.
The recommended Final Dividend subject to approval in the upcoming Annual General Meeting will accrue to Members on the register at the close of business on 30th June 2016 and therefore the register will remain closed from 1st July to 6th July 2016, both days inclusive.

PROSPECTS

The year has started with very high crops and large volumes of tea on offer at the auction selling historically low prices. Any turnaround to this is subject to prevailing weather conditions which will influence the laws of supply and demand.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the SIXTY SEVENTH ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Wednesday 13 July 2016 at 10.00 a.m for the following purpose:

Ordinary Business:

- To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2016.
- To declare a dividend.
- To elect Directors:
 - In accordance with Article 95 of the Company's Articles of Association, Mr.Ezekiel N K Wanjama, retires by rotation and offers himself for re-election. and offer himself for re-election.
 - In accordance with Article 95 of the Company's Articles of Association, Mr.Philip Magor, retires by rotation and offers himself for re-election.
- To approve the remuneration of the Directors.
- To authorise the Directors to reappoint/ appoint Auditors and agree their remuneration.
- To transact such other business as may be brought before the meeting.

G K MASAKI
COMPANY SECRETARY

THURSDAY, JUNE 9 2016

STATEMENT OF FINANCIAL POSITION

	31.03.2016 Kshs'000	31.03.2015 Kshs'000
ASSETS		
Non - current assets		
Property , Plant and Equipment	466,775	519,993
Prepaid Operating Lease Rentals	21,621	21,645
Intangible Assets	446	336
Investments	717	717
Biological Assets	951,752	796,284
	1,441,311	1,338,975
Current Assets		
Inventories	302,941	163,340
Trade and other receivables	464,255	397,960
Due from related companies	472	15,897
Tax Recoverable		20,223
Fixed Deposits	48,384	
Bank & Cash	71,788	46,844
	887,840	644,264
Total Assets	2,329,151	1,983,239

EQUITY AND LIABILITIES

Capital and reserves		
Share Capital	39,120	19,560
Revaluation reserves	194,188	224,945
Revenue Reserves	1,409,133	1,183,174
Shareholders' funds	1,642,441	1,427,679
Non - current Liabilities		
Deferred Taxation	359,991	333,537
Employee benefit obligations	116,422	107,579
	476,413	441,116
Current Liabilities		
Trade and other payables	197,147	104,918
Due to related companies	13,150	9,526
	210,297	114,444
Total equity and liabilities	2,329,151	1,983,239

STATEMENT OF CASH FLOWS

	31.03.2016 Kshs'000	31.03.2015 Kshs'000
Operating activities		
Cash/(deficit) generated from operations	154,093	25,045
Interest paid	(485)	(5,120)
Interest received	5,027	-
Tax Paid	(11,806)	(30,571)
	146,829	(10,646)
Investing activities		
Purchase of plant and equipment	(47,077)	(53,864)
Purchase of intangible assets	(278)	(419)
Proceeds from disposal of Plant and Equipment	5,551	2,645
Dividends received	-	424
Expenditure on biological assets	(11,526)	(6,876)
	(53,330)	(58,090)
Financing activities		
Dividends paid	(20,171)	(19,078)
	(20,171)	(19,078)
Decrease in cash and cash equivalents	73,328	(87,814)
Movement in cash and cash equivalents		
At 1 April	46,844	134,658
Decrease	73,328	(87,814)
At 31 March	120,172	46,844

The above extract is based on the Financial Statements of Kapchorua Tea Company Limited for the year ended 31 March 2016 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Company's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com